

24STCV11462 24STCV11462

County: los-angeles

Division: Civil Law and Motion

Department: 509

Hearing date: 2026-08-11

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C509%2C08%2F11%2F2026

Source SHA-256: ae8278f458aa2acee3ec3489be8e90885cd3df6be98d6652f67c5d2de6d0f8c0

Case Number: 24STCV11462 Hearing Date: August 11, 2026 Dept: 509

Tenesha Taylor v. Volunteers of America of Los Angeles, Inc.

MOTION TO VACATE ORDER COMPELLING ARBITRATION

MOVING PARTY: Plaintiff Tenesha Taylor

RESPONDING PARTY(S): Defendant Volunteers of America of Los Angeles, Inc.

STATEMENT OF MATERIAL FACTS AND/OR PROCEEDINGS:

Plaintiff Tenesha Taylor (Plaintiff) brings this action against defendant Volunteers of America of Los Angeles, Inc. (Defendant) alleging: (1) retaliation pursuant to Labor Code section 1102.5; (2) retaliation pursuant to the False Claims Act; and (3) wrongful termination in violation of public policy.

On October 8, 2024, this Court granted the parties stipulation (Dispute Resolution Agreement, or DRA) and ordered this matter to arbitration.

Plaintiff now moves for an order vacating the Court's October 8, 2024, order to arbitrate based on Defendant's failure to pay \$16,500 for the arbitration retainer. Defendant opposed.

On April 10, 2026, this Court continued the hearing to June 11, 2026, to allow the parties to attempt to resolve the issue informally and Defendant to restart the arbitration proceeding.

On June 11, 2026, the Court granted Defendant's request to "continue the hearing set for 6/11/2026 approximately two months to give the Parties chance to choose an arbitrator and inform the Court about the status of arbitration." (See 6/11/26 Final Ruling.) The Court requested that Plaintiff provide a supplemental briefing by July 29, with Defendant to file a supplemental brief by August 4. (Ibid.)

Later, on June 11, 2026, Plaintiff requested AAA stay the arbitration until a ruling on this matter was issued. (Khachaturian Supp. Decl. ¶6, Exh. C.)

On July 28, 2026, Plaintiff filed their supplemental briefing reaffirming her position to vacate the Court's October 8, 2024, order to arbitrate. On August 4, 2026, Defendant filed its supplemental opposition.

The Court now considers the entire record before it.

TENTATIVE RULING:

Plaintiff's Motion to Vacate is DENIED.

The Arbitration Status Review hearing shall remain on 10/7/26 at 8:30 a.m.

Defendant is ordered to give notice, unless waived.

DISCUSSION:

Motion to Vacate

I. Legal Standard

The California Arbitration Act (CAA) is codified at Code of Civil Procedure section 1280 et seq. It includes section 1281.98, subdivision (a), which states:

In an employment or consumer arbitration that requires, either expressly or through application of state or federal law or the rules of the arbitration provider, that the drafting party pay certain fees and costs during the pendency of an arbitration proceeding, if the fees or costs required to continue the arbitration proceeding are not paid within 30 days after the due date, the drafting party is in material breach of the arbitration agreement, is in default of the arbitration, and waives its right to compel the employee or consumer to proceed with that arbitration as a result of the material breach.

Section 1281.98, subdivision (b) further provides:

If the drafting party materially breaches the arbitration agreement and is in default under subdivision (a), the employee or consumer may unilaterally elect to do any of the following: (1) Withdraw the claim from arbitration and proceed in a court of appropriate jurisdiction. . . (2) Continue the arbitration proceeding, if the arbitration provider agrees to continue administering the proceeding, notwithstanding the drafting party's failure to pay fees or costs. . . .

Until recently, the courts had generally strictly enforced the deadline in section 1281.98. The California Supreme Court in *Hohenshelt v. Superior Court* (2025) 18 Cal.5th 310 held that section 1281.98 of the Code of Civil Procedure is not as unforgiving as some courts had interpreted it. The statute, the Court reasoned, had been enacted "against the backdrop of longstanding statutes" and principles under which nonperformance of a contractual duty is generally excusable unless the nonperformance is "willful, fraudulent, or grossly negligent." (Id. at p. 323.) Therefore, a drafting party that has not acted willfully, fraudulently, or grossly negligently in failing to make payment of required arbitration fees may be relieved from their waiver of their right to arbitration upon payment of reasonable expenses, including attorney's fees and costs, incurred because of the breach. (Id. at pp. 333, 344 ["if the drafting party acted in good faith, it may seek relief under [section 473, Civil Code section 3275, or Civil Code section 1511] and its claim should be evaluated under the usual principles in law and equity governing relief from forfeiture or default, including whether the other party has been prejudiced."].)

In *Hohenshelt*, the California Supreme Court held: “We disapprove *Gallo v. Wood Ranch USA, Inc.*, supra, 81 Cal.App.5th 621, *Espinoza v. Superior Court*, supra, 83 Cal.App.5th 761, *De Leon v. Juanita’s Foods*, supra, 85 Cal.App.5th 740, *Williams v. West Coast Hospitals, Inc.*, supra, 86 Cal.App.5th 1054, *Doe v. Superior Court*, supra, 95 Cal.App.5th 346, *Suarez v. Superior Court*, supra, 99 Cal.App.5th 32, *Hernandez v. Sohnen Enterprises, Inc.*, supra, 102 Cal.App.5th 222, *Keeton v. Tesla, Inc.*, supra, 103 Cal.App.5th 26, review granted, *Trujillo v. J-M Manufacturing Co., Inc.* (2024) 107 Cal.App.5th 56 [328 Cal.Rptr.3d 1], *Colon-Perez v. Security Industry Specialists, Inc.*, supra, 108 Cal.App.5th 403, and *Sanders v. Superior Court* (2025) 110 Cal.App.5th 1304 [332 Cal.Rptr.3d 421], to the extent they are inconsistent with this opinion.” (*Hohenshelt*, supra, 18 Cal.5th at p. 349.)

“If the employee or consumer withdraws the claim from arbitration and proceeds in a court of appropriate jurisdiction pursuant to paragraph (1) of subdivision (b), both of the following apply: (1) The employee or consumer may bring a motion, or a separate action, to recover all attorney’s fees and all costs associated with the abandoned arbitration proceeding. The recovery of arbitration fees, interest, and related attorney’s fees shall be without regard to any findings on the merits in the underlying action or arbitration. (2) The court shall impose sanctions on the drafting party in accordance with Section 1281.99. (Code Civ. Proc. § 1281.98(c).)”

Under Code of Civil Procedure, section 1281.99(a), “[t]he court shall impose a monetary sanction against a drafting party that materially breaches an arbitration agreement pursuant to subdivision (a) of Section 1281.97 or subdivision (a) of Section 1281.98, by ordering the drafting party to pay the reasonable expenses, including attorney’s fees and costs, incurred by the employee or consumer as a result of the material breach.”

II. Analysis

Plaintiff moves to withdraw from arbitration, lift the stay, and proceed with this matter in court. This Court retains the power to consider this motion under its “vestigial jurisdiction,” and Plaintiff need not seek consent of the arbitrator. (*Williams v. W. Coast Hosps., Inc.* (2022) 86 Cal.App.5th 1054, 1068-1069.)

A. Applicable Procedural Rules

Defendant argues that Federal Rules of Civil Procedure (FRCP) procedural rules govern the pre-enforcement procedures of the DRA because the controversy is governed by the Federal Arbitration Act (FAA) and not the CAA. The DRA states that: “The Federal Rules of Civil Procedure will apply to the arbitration.” (*Khachaturian Decl. Ex. 2.*)

The California Supreme Court has found that the CAA’s civil provisions apply even in agreements where the FAA applies. (See *Cronus Investments, Inc. v. Concierge Services*, (2005) 35 Cal.4th 376, 394 [“We simply hold that the language of the arbitration clause in this case, calling for the application of the FAA ‘if it would be applicable,’ should not be read to preclude the application of 1281.2(c), because it does not conflict with the applicable provisions of the FAA and does not undermine or frustrate the FAA’s substantive policy favoring arbitration.”].) “Absent an agreement by the parties to apply the procedural provisions of the FAA to their arbitration, federal procedural rules apply only where state procedural rules conflict with or defeat the rights Congress granted in the FAA.” (*Judge v. Nijjar Realty, Inc.* (2014) 232 Cal.App.4th 619, 632.)

Here, there is no express provision indicating that the Parties intended to apply the FRCP to the exclusion of the CAA. As such, the “procedural provisions of the CAA apply in California courts by default.” (*Valencia v. Smyth*, (2010) 185 Cal.App.4th 153, 174 [emphasis in original].) “There is no federal policy favoring arbitration under a certain set of procedural rules . . .” (*Volt Information Sciences, Inc. v. Board of Trustees of Leland Stanford Junior University*, (1989) 489 U.S. 468, 469.) Defendant fails to show that the Parties intended the FRCP to govern all aspects of this action, including pre-enforcement and pre-arbitration proceedings. The parties only stipulated that the FRCP will apply to the arbitration proceeding itself, not the enforcement of the agreement. Missing from the language of the DRA is that the FRCP will govern the interpretation and enforcement of the DRA. Consequently, Defendant cannot show that the DRA specifically intended to preempt Section 1281.97 from applying to this action. Even if the FRCP governs pre-enforcement and pre-arbitration issues in this action, the CAA’s statutory provisions are not excluded because Defendants cannot show that the CAA’s statutory provisions are inapplicable. Federal procedural rules apply only to the extent state procedural rules conflict. (See *Judge*, supra, 232

Cal.App.4th at p. 632.) Additionally, “section 1281.98, properly construed, is not preempted by the FAA.” (Hohenshelt v. Superior Court, *supra*, 18 Cal.5th at p. 323.)

Defendant cites numerous cases that suggest a party's explicit adoption of FAA rules can prevent application of CAA rules. [FN 1] However, here, the parties did not explicitly adopt the entirety of the FAA. (Rodriguez v. American Technologies, Inc. (2006) 136 Cal.App.4th 1110, 1122; [Thus, there is no ambiguity regarding the parties' intent. They adopted the FAA—all of it—to govern their arbitration.”]) Instead, the parties chose to adopt the FRCP only as it applies to the arbitration proceeding, which does not provide guidance on governing the interpretation and enforcement of the DRA. Therefore, the Court must rely on the California authority in interpreting and enforcing the DRA. (See Judge v. Nijjar Realty, Inc, *supra*, 232 Cal.App.4th at p. 632.)

Accordingly, Plaintiff can seek to withdraw from arbitration because nothing in the DRA explicitly prevents them from seeking statutory relief under Section 1281.97.

B. Willful, Fraudulent, or Grossly Negligent Performance

Ordinary negligence is the failure to exercise the level of care that a reasonable person under similar circumstances would use. (City of Santa Barbara v. Superior Ct. (2007) 41 Cal.4th 747, 753-754.) Gross negligence, by contrast, is defined as a “want of even scant care” or “an extreme departure from the ordinary standard of conduct.” (Ibid.) Here, the Court finds the totality of the evidence to rise to merely negligence.

Relevant incidents are as follows:

“On or about 3/17/2025, AAA sent Defendant an invoice of \$16,500 for “Deposit for Arbitrator’s Compensation.” (Khachaturian Decl. ¶8.)

“On 11/13/2025, AAA sent a letter to my office stating that “the arbitrator is suspending administration of this matter, as the deposits have not been paid pursuant to Rule 47 of the Employment Rules.” (Khachaturian Decl. ¶9.)

On 11/21/2025, Gregory Wolflick emailed Mr. Bernardo regarding the \$16,500 invoice. (Khachaturian Decl. ¶11.) That same day, Mr. Bernardo responded to Mr. Wolflick’s email and stated in part that “I have not been compensated for the \$4,070 I have thus far submitted to the AAA for my work on this case.” (Id. at ¶12.)

“On 12/22/2025, Arbitrator Bernardo sent an email stating that the Arbitration proceedings were “suspended until payment of the full \$16,500 retainer invoiced.” (Khachaturian Decl. ¶13.)

“On January 23, 2026, the AAA formally closed the arbitration due to VOALA's nonpayment of the required deposits.” (Gamez Decl. ¶9; Ex. 9 [“As the requested arbitrator compensation deposits were not received, this letter confirms that the above-referenced matter is closed as of the date of this correspondence.”].)

To vacate the arbitration order, the Court must “establish defendant's untimely payment was strategic, willful, grossly negligent, or fraudulent, the prerequisites for forfeiture of arbitral rights and abandonment of the arbitration as interpreted in Hohenshelt.” (Wilson v. TAP Worldwide, LLC (2025) 114 Cal.App.5th 1077, 1090.)

Here, there was no strategic, willful, grossly negligent, or fraudulent conduct. Defendant's conduct was merely negligent. Defendant was aware of the invoices to proceed with arbitration but instead chose to negotiate its position with the AAA, albeit unsuccessfully. While ultimately advancing an incorrect position, the Court cannot conclude that this negotiation was undertaken in a manner designed to forfeit arbitral rights or was a willful or strategic decision to end or delay arbitration.

Further, the “claim should be evaluated under the usual principles in law and equity governing relief from forfeiture or default, including whether the other party has been prejudiced.” (Hohenshelt v. Superior Court, supra, 18 Cal.5th at p. 334.) Here, Defense counsel's negligent handling of the deposit should not be imputed on Defendant. To any extent these actions were undertaken in a strategic or willful manner, they were executed with the goal of continued arbitration, just at a lower deposit cost. [FN 2] They were not taken to significantly delay arbitration proceedings in a manner Code of Civil Procedure, section 1280 was enacted to curtail. Further, there is no evidence that Plaintiff would be unduly prejudiced by continuing arbitration. Indeed, any additional costs arising from Defendant's negligence will be borne by Defendant if/when Plaintiff becomes the prevailing party in the underlying action.

Accordingly, Plaintiff's Motion to Vacate is DENIED.

IT IS SO ORDERED.

Dated: August 11, 2026 _____

Randolph M. Hammock

Judge of the Superior Court

FN 1 - This includes Hernandez v. Sohnen Enterprises, Inc. (2024) 321 Cal.Rptr.3d 283 which was depublished after the ruling in Hohenshelt v. Superior Court. This cannot be relied upon since “an opinion of a California Court of Appeal or superior court appellate division that is not certified for publication or ordered published must not be cited or relied on by a court or a party in any other action.” (See Cal. Rules of Ct., Rule 8.1115(a); see also People v. Williams (2009) 176 Cal.App.4th 1521, 1529 [“persistent use of unpublished authority may be cause for sanctions”].)

FN 2 - Additionally, Defendant is a non-profit, charitable organization which serves the public. Its budgetary concerns appear to be legitimate and reasonable. Of course, on the other hand, Defendant is the party who insist on the arbitration – not Plaintiff.

Any party may submit on the tentative ruling by contacting the courtroom via email at by no later than 4:00 p.m. the day before the hearing. All interested parties must be copied on the email. It should be noted that if you submit on a tentative ruling the court will still conduct a hearing if any party appears. By submitting on the tentative you have, in essence, waived your right to be present at the hearing, and you should be aware that the court may not adopt the tentative, and may issue an order which modifies the tentative ruling in whole or in part.